

INTERNATIONAL BUSINESS MACHINES CORPORATION

(NYSE: IBM)

Two Businesses, One Stock: High-Margin Software Hides Under a Utility Multiple

HOLD — \$223.00 Target

Equity Research Note · Technology — IT Services & Enterprise Software · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$223.00	\$222.64	+0.2%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$209.8 bn (at \$222.64)	Software revenue	\$7.4 bn in Q2 (+10%)
Net debt	~\$52 bn (post-Hashicorp)	AI book of business	>\$9.5 bn inception to date
52-week range	~\$199.19 – \$332.46	Dividend yield	~3.0% (consecutive annual raises)
TTM revenue	~\$68.4 bn (H1 2026)	Index	Dow Jones Industrial Average
Q2 2026 revenue	\$17.9 bn (+8% reported)	Next catalyst	Q3 earnings; Hashicorp synergy targets

1 Investment Thesis

IBM today is two businesses priced as one. The software business — Red Hat, hybrid cloud platforms, automation, data and AI, transaction processing — is growing high-single digits with gross margins above 80% and would trade at a premium multiple on its own; our sum-of-the-parts puts it at roughly \$211 billion of enterprise value. The consulting business — down about 1% on a constant-currency basis for three straight quarters — is shrinking while it digests a market shift, and infrastructure is cyclical. Together they condemn the whole to a utility multiple, which is exactly the opportunity and the trap.

Our judgment: Arvind Krishna's repositioning is working, but slowly. Red Hat OpenShift grew 18% year over year, the AI book of business passed \$9.5 billion inception to date (roughly \$2 billion added in the first half of 2026), and Q2 revenue grew 8% with software up 10%. The HashiCorp acquisition (~\$6.4B) fills a real hole in infrastructure automation. But this is a capital-allocation tightrope: net debt near \$52 billion against a \$210 billion market cap is elevated for a slow grower, consulting's weakness reflects real enterprise spending shifts toward AI-led transformation that IBM may not capture, and quarterly results swing wildly on large deal timing.

At \$222.64 the market is fairly pricing the composite: our probability-weighted DCF value is \$222.90 — bear \$93.78 / base \$241.42 / bull \$314.98 — rounded to the \$223 target. The base case is not priced for perfection; it assumes mid-single-digit growth with software continuing to take share inside the mix. The asymmetry is what makes this a HOLD rather than a sell-the-shrink: the bull case (\$314.98) has the software business compounding while consulting stabilizes, worth +41% from here, while the bear (\$93.78) requires genuine deterioration — AI disruption of the consulting model plus a debt spiral — that the balance sheet and installed base make difficult. The dividend (3.0% yield, annually raised) pays you to wait for the software story to earn a standalone multiple.

2 Business Overview — What International Business Machines Corporation Is Doing

(Armonk, New York; CEO Arvind Krishna)

IBM, headquartered in Armonk, New York and a Dow Jones component, operates three segments. Software (roughly \$30B annualized revenue) includes Red Hat, hybrid cloud platform, automation, data and AI, and transaction processing — high-80s gross margins, growing high-single digits. Consulting (roughly \$20B annualized) delivers business transformation, technology consulting, and application operations — mid-single-digit margins, currently contracting. Infrastructure (roughly \$16B annualized) covers zSystems mainframes, Power servers, and distributed infrastructure — cyclical, lumpy, but deeply entrenched in the world's banks, airlines, and governments.

The strategic arc under Krishna since 2020 has been consistent: acquire software and consulting capabilities around hybrid cloud and AI (Red Hat, HashiCorp), divest or de-emphasize legacy (the Kyndryl spin), and push every client conversation toward AI-led transformation. The AI book of business — cumulative signings for generative-AI consulting and software — is the chosen scoreboard for whether the pivot is landing.

What the company is doing now

- **Red Hat is the crown jewel and it's accelerating.** OpenShift grew 18% year over year — hybrid cloud is not a legacy story but a growth one, and it's the largest single engine inside the software segment.
- **The AI book is real revenue, not slideware.** Over \$9.5 billion of cumulative signings, with roughly \$2 billion added in H1 2026 alone — consulting and software both, which is the point.

3 Financial Analysis

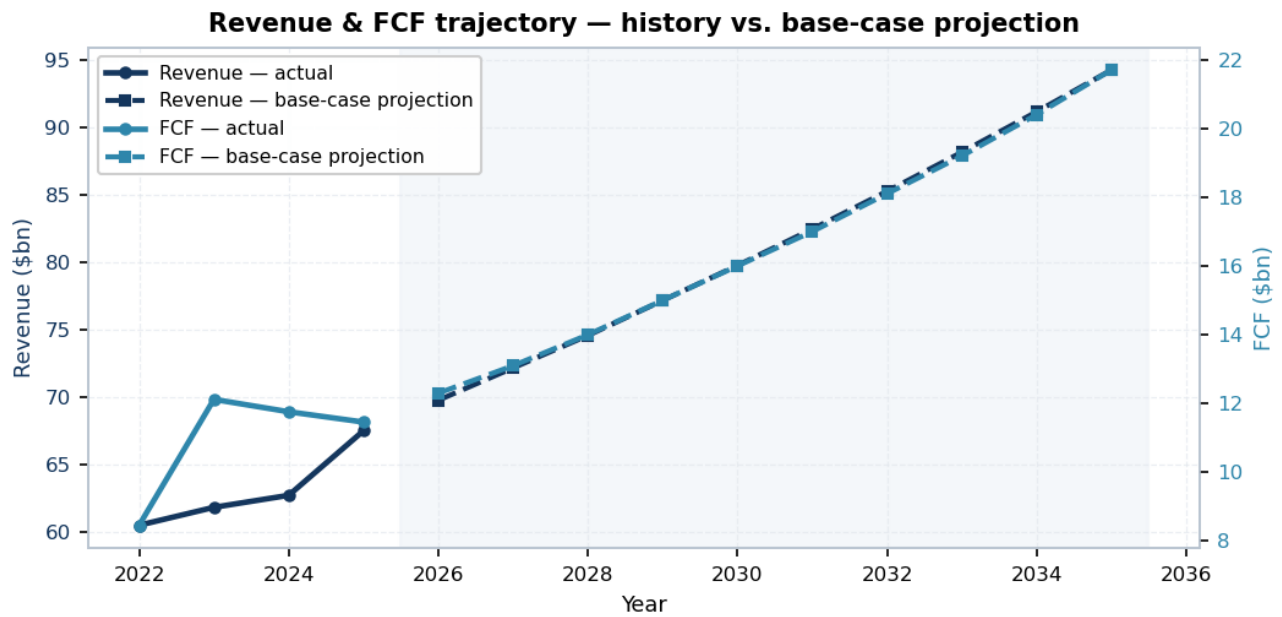
Segment	Q2 2026 revenue	Growth	EV (SOTP)
Software	\$7.4 bn	+10%	~\$211.2 bn
Consulting	~\$5.2 bn	~1% cc	~\$25.8 bn
Infrastructure	~\$4.0 bn	cyclical	~\$23.2 bn
Financing	—	—	~\$0.9 bn

Segment revenue from Q2 2026 results; EV values from the model's SOTP (ibm-research/valuation_output.json); Financing EV de minimis.

The financial profile is that of a slow grower with a strong cash engine: TTM revenue ~\$68.4 billion growing ~5–8%, FCF of \$8.5B → \$12.1B → \$11.8B → \$11.5B (2022–2025) — mid-teens FCF margins — and a dividend raised annually yielding ~3.0%. The balance sheet is the constraint: ~\$52 billion of net debt (elevated by HashiCorp) is roughly 4.5x trailing FCF, which is manageable but leaves little room for a large cash acquisition or a sharp earnings miss.

Base-case economics: ~3.4% ten-year revenue CAGR (from \$67.5B 2025 revenue), FCF margins 17%→23% on the mix shift, 9.0% discount, 2.5% terminal growth. The bear (\$93.78) assumes 1.5% growth with margins stuck near 19% and an 11.5% discount — genuine deterioration, not a growth scare. The bull (\$314.98) assumes consulting stabilizes and software compounds at ~4% overall with 24% terminal FCF margins at an 8% discount.

Revenue & cash-flow trajectory



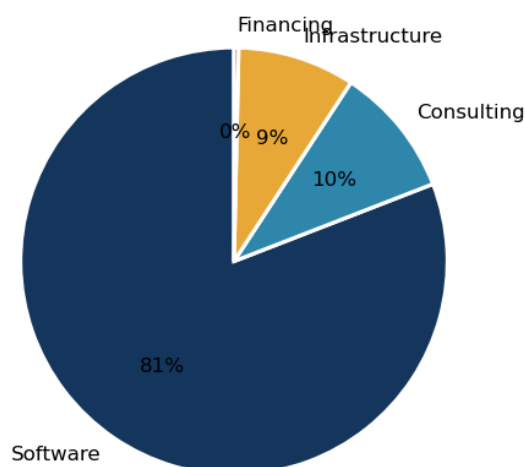
History: revenue and operating-CF-minus-capex (Yahoo). Projection: the model's base-case 10-year FCF path (~3.4% revenue CAGR; FCF margin 17%→23%). Shaded = projection.

4 Moat & Competition

- **Entrenched infrastructure nobody rips out.** zSystems run the transaction cores of most global banks; the switching cost is measured in decades, and the annuity-like maintenance revenue funds the pivot.
- **Red Hat's hybrid-cloud position.** OpenShift is the credible alternative to pure public-cloud lock-in for regulated enterprises — a genuine moat in hybrid environments, growing 18%.
- **Client relationships measured in decades.** IBM sells to the same C-suites it has served for fifty years; AI-transformation budgets flow through existing trust.
- **Counterweight: consulting is the anchor.** A shrinking services business in an AI-automating world is a structural headwind, and the \$52B net debt makes slow growth unforgiving.

Sum-of-the-parts enterprise value (\$bn)

Sum-of-the-parts enterprise value (\$bn)



5 Valuation — 10-year scenario FCFF DCF + sum-of-the-parts cross-check, Fair Value \$223

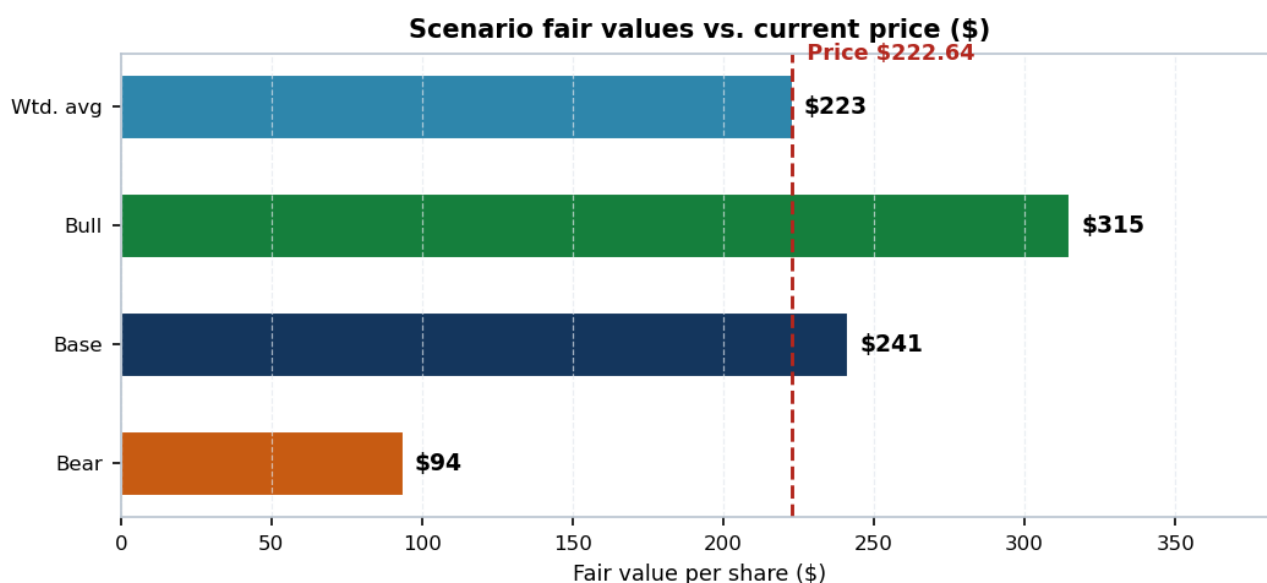
We value IBM on a probability-weighted 10-year scenario DCF, weighted bear 25% / base 50% / bull 25%, with scenario-specific discounts: bear 11.5% (base + 250bp), base 9.0%, bull 8.0% (base – 100bp). Terminal growth is 1.0% / 2.5% / 2.5% on year-10 FCF at normalized margins. Net debt of ~\$52B is subtracted in every scenario. A sum-of-the-parts cross-check anchors the level: ~\$211.2B software + \$25.8B consulting + \$23.2B infrastructure + \$0.9B financing ≈ \$261B of EV, which after the ~\$52B net debt lands within a few percent of the base-case equity value — the market is fairly pricing the composite.

The base case assumes ~3.4% ten-year revenue CAGR with FCF margins rising 17%→23% as software weight increases — unglamorous, and deliberately so. The bear assumes genuine deterioration: 1.5% growth, 19% terminal FCF margins, 11.5% discount — AI disruption of consulting plus a debt spiral at \$93.78, well below the price. The bull assumes consulting stabilizes and software compounds: ~4% overall growth, 24% terminal margins, 8% discount, \$314.98. Terminal value is 35–61% of EV across scenarios.

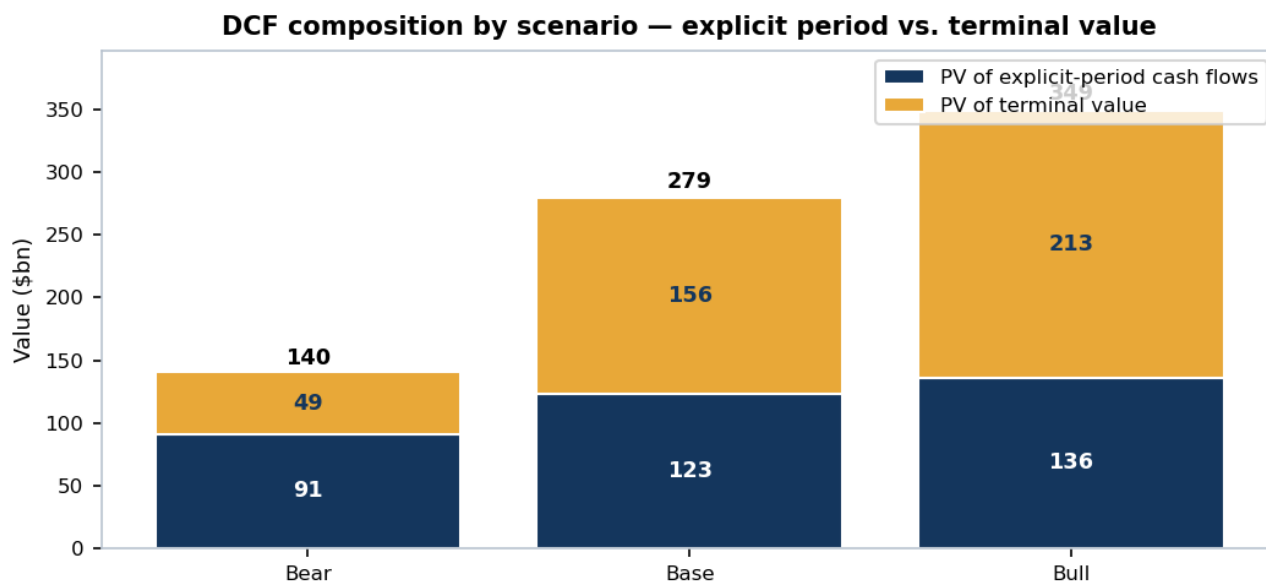
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Genuine deterioration: AI disrupts the consulting model faster than IBM can automate delivery; mainframe cycle rolls over; margins stuck near 19%.	+1.5%	19%	11.5% / 1.0%	35%	\$93.78
Base	~3.4% revenue CAGR; FCF margins 17%→23% on the software mix shift; consulting stabilizes; Hashicorp synergies deliver.	+3.4%	23%	9.0% / 2.5%	56%	\$241.42
Bull	Consulting inflects to positive organic growth; Red Hat sustains mid-teens growth; software earns a standalone multiple (~4% overall growth).	+4.0%	24%	8.0% / 2.5%	61%	\$314.98
Wtd. avg	Probability-weighted (25/50/25) → \$223.00 target					\$223.00

Probability-weighted DCF value is \$222.90 ($0.25 \times \$93.78 + 0.50 \times \$241.42 + 0.25 \times \314.98), rounded to our \$223 target — essentially the current price, which is why this is a HOLD. Composition is on an EV basis; ~\$52B of net debt is subtracted to reach equity fair value in every scenario. The SOTP cross-check (~\$211.2B software + \$25.8B consulting + \$23.2B infrastructure) corroborates the base case.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Consulting deterioration.** Three straight quarters of ~-1% constant-currency growth; AI may disrupt the labor-intensive model faster than IBM can automate delivery.
- **Leverage.** ~\$52B net debt (~4.5x trailing FCF) leaves little room for a large acquisition or an earnings miss.
- **Mainframe cyclical.** zSystems refresh cycles are lumpy; a hard rollover hits the infrastructure segment disproportionately.
- **Large-deal lumpiness.** Quarterly results swing on the timing of big signings, creating headline volatility unrelated to the thesis.
- **AI execution.** The \$9.5B AI book must convert to recognized revenue; signings are not sales.
- **Currency.** A large non-US revenue base translates results in strong-dollar periods.

What would change our mind

Consulting inflecting to sustained positive organic growth on AI-transformation demand — plus Red Hat sustaining mid-teens growth — would argue the software story is winning and move us toward BUY. Conversely, consulting declining further (beyond cyclical softness), net debt rising rather than falling, or the AI book of business stalling would move us toward REDUCE. The dividend's trajectory is the canary: a cut would signal the bear case is arriving.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.